dropped to 8.51 MT (just above the minimum buffer limit of 7.4 MT) at the beginning of harvest season on April 1 (in Rajasthan and MP, it started a week before). This is the lowest the stock levels have been since 2017. This season, the procurement agencies are aiming for at least 34.1 MT from the eight major wheat-producing states to meet the country's requirements (including implementing the food security obligations). Out of this, 13.2 MT is to come from Punjab, followed by 8 MT from Madhya Pradesh and 7.5 MT from Haryana; the other states will contribute the rest.

Last year, FCI couldn't meet its target—procuring only 18.8 MT, less than half of the 43.3 MT target. The heat peaked during the last weeks of March in 2022 too, reducing the output. The private buyers, too, were overrun with the spike in demand in global markets (due to the Russia-Ukraine war). The low procurement also pushed central agencies to clear older stocks, and not just due to food security obligations; they also had to push the grains stock into the market to cool prices. This season, Punjab is not expecting to see more than 9.5 MT wheat reaching the mandis; the expectation from Haryana is that the procurement may not cross the 7 MT mark.

LAST YEAR, FCI DIDN'T MEET ITS WHEAT TARGET, PROCURING LESS THAN HALF, JUST 18.8 MT

So the twin challenges remain—farmers will have to be compensated for their losses and, on the other side, food inflation will have to be controlled. There's also a third issue—the rains and the unexpectedly hot weather later have damaged the quality of the yield. The wheat-producing states are now pushing Goyal to relax the FCI standards, which evaluates the lustre of the grains and moisture content among other things, to ascertain remuneration vis-a-vis the minimum support price (MSP) determined by the Union cabinet. For example, the wheat reaching the mandis in Punjab and Haryana this time had moisture content as high as 20 per cent and the grains had suffered lustre loss as well. FCI standards don't permit procurement at MSP of wheat with more than 12 per cent moisture. And if the government agencies don't buy, it may lead to distress sale. In Madhya Pradesh, the FCI relaxed the norms to purchase grains with 10 per cent less lustre but the offer was Rs 5 less per quintal than the determined MSP of Rs 2,125 per quintal. The Centre has relaxed quality norms for wheat procurement in Punjab, Chandigarh, Haryana, and Rajasthan but there is still no clarity on relaxation in the moisture norms, perhaps why many farmers in Punjab and Haryana have delayed harvest of their crops. The IMD's prediction of a dry fortnight has strengthened their decision. But the farmers may not have the capacity to hold the crops beyond a week or 10 days in addition to their schedule. After all, they also have to repay the loans taken from the *arthiyas* (middlemen) or financial institutions.

The Centre has raised the limit for shriveled/ broken grains in procured stock to 18 per cent, against the existing limit of 6 per cent. A value cut of a flat Rs 5.31 per quintal will be deducted on

WHEAT & CHAFF

112.1 MT
Production target

102.9 MT
Expected production

34.1 MT
Procurement target

20.7 MT
Target for Punjab and Haryana

16.5 MT
Possible procurement from the two states

Source: Union agriculture ministry, Punjab and Haryana government



FLATTENED Haryana CM Khattar assessing the damage to the wheat crop at Tigrana village in Bhiwani

ANI